

Q1 2025

Custom Managed Portfolios

Guardian Canadian Equity (RI)

Quick facts

Asset class:
Canadian Large Cap

Management style:
GARP¹

Number of holdings:
35

Sub-advisor:
Guardian Capital

Portfolio manager:
Aviso Wealth

Minimum investment:
\$150,000

Inception Date:
January 01, 1997



What does the strategy invest in?

This strategy will invest in equities of Canadian large capitalization companies. This strategy adheres to strict Socially Responsible Investing (SRI) principles when it selects securities for this mandate.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	1.9%	1.9%	16.8%	11.2%	17.4%	8.9%	8.5%
Benchmark ⁵	1.5%	1.5%	15.8%	7.8%	16.8%	8.6%	7.4%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	24.6%	14.8%	-4.5%	22.9%	3.3%	16.9%	-6.1%
Benchmark ⁵	21.6%	12.0%	-5.9%	25.1%	5.6%	22.9%	-8.9%

Standard deviation	8.4%	Sortino ratio	1.04	Downside capture	76.3%
Sharpe ratio	0.82	Beta (Equity)	0.81	Upside capture	87.6%

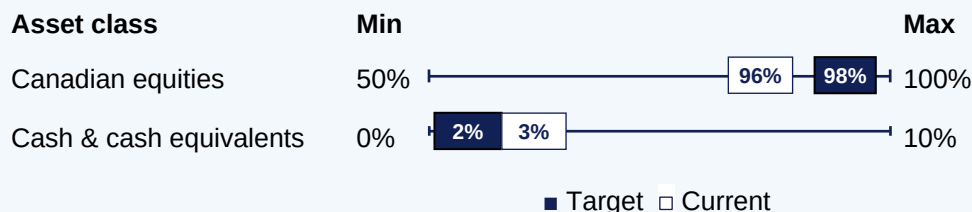
Largest holdings

1. AGNICO EAGLE MINES LTD	6.7%	6. LOBLAW COS LTD	4.4%
2. ROYAL BANK OF CDA	6.3%	7. BK OF MONTREAL	4.3%
3. CIBC	5.5%	8. FAIRFAX FNCL HLDGS LTD	3.8%
4. BROOKFIELD CORP VTG CL A	5.1%	9. CDN NTRL RES LTD	3.7%
5. SUNCOR ENERGY INC NEW	4.6%	10. ELEMENT FLEET MANAGEMENT	3.4%

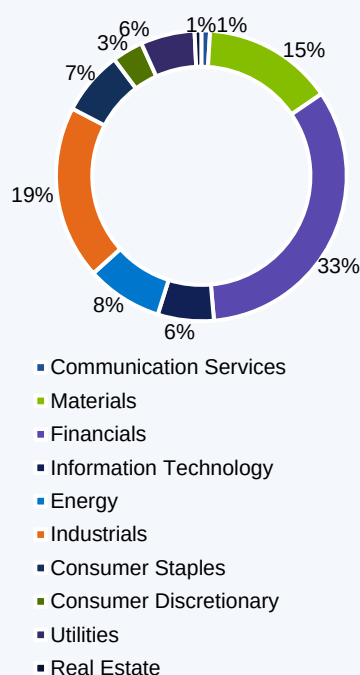
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
2.2%	37.23	15.04	3.14	3.07	53.32B	47.7%

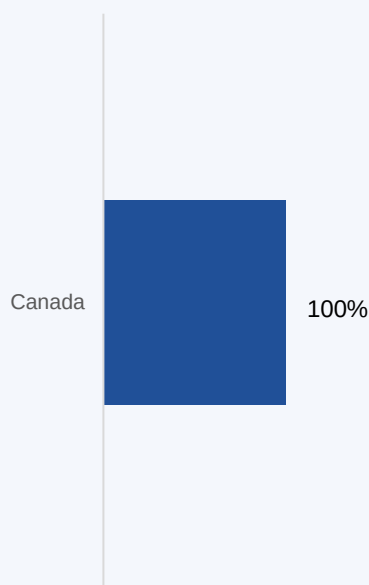
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

The S&P/TSX composite index returned 1.51% in the first quarter of 2025, buoyed by strong performance in the Materials (+20.33%), Utilities (+4.89%), Energy (+2.66%), and Communication Services (+2.18%) sectors. The Health Care (-8.98%), Consumer Staples (-0.49%), Information Technology (-7.46%), Real Estate (-1.62%), Industrials (-1.97%), Financials (-1.25%) and Consumer Discretionary (-0.17%) sectors all lagged the broader market.

Market sentiment was varied over the quarter as the uncertainty in U.S. trade policy led to increased volatility in the stock market, causing concerns among investors. The Canadian economy entered 2025 in a good position as growth was projected to increase, led by household spending, investment and exports. Employment numbers exceeded expectations as the unemployment rate fell to 6.6% in January and remained flat through February.

Inflation increased in both January and February, reaching a high of 2.6%. The Bank of Canada (BOC) cut its policy interest rate by 25 basis points twice this quarter, going from 3.25% at the start of the quarter to 2.75%.

While economic growth had been projected to increase going into 2025, the looming tariff threats has led to consumer and business confidence sinking to lows not seen since the outbreak of the COVID-19 pandemic. Despite initial optimism from markets following the election of Donald Trump, the Administration's trade policy has caused economic activity projections to decrease and poor stock market performance (the S&P 500 Index and Nasdaq Composite declined by over 4% and 10% respectively). The US Federal Reserve left its interest rates unchanged this quarter at a range of 4.25-4.50%.

The heightened geopolitical uncertainty also struck commodity markets which similarly saw increased price volatility in the first quarter of 2025. WTI oil prices hit a high of \$80.04 per barrel in January and a low of \$66.03 per barrel in March. Metals had varied results in the first quarter with Copper, Gold, Steel, and Silver increasing over the quarter while Aluminum, Iron Ore, and Zinc experienced high price volatility.

The volatility of the geopolitical environment following the electoral victory of Donald Trump is the main source of uncertainty in the portfolio's outlook. Markets have reacted strongly to Trump's tariff policies and economic sentiments have reached record lows. Additionally, both the Bank of Canada and Federal Reserve have signaled that future rate cuts could be slowed or halted as inflation begins to rise. The effects of these macroeconomic factors could remain uncertain in the near to medium term. However, we expect higher-quality companies to overcome these headwinds and continue to provide attractive valuations.

The portfolio maintains a strong quality bias and remains diversified across cyclical and defensive companies. Economic headwinds are expected to affect all portfolio holdings to various degrees; however, we believe that if labour markets continue to normalize and trade policy stabilizes, multiple companies in the portfolio should benefit, irrespective of the economic outlook.



GUARDIAN CAPITAL LP

Investment manager overview

Guardian was formed in 1962 and is one of Canada's longest-established, independent investment counselling firms. Over its 50-year history, Guardian has offered its investment management expertise in balanced fund management, equity management and fixed-income management to pension fund clients, institutions, operating and endowment funds, charitable organizations, mutual funds and high net worth individuals. Guardian Capital Inc. is wholly-owned by Guardian Capital Group Limited. The parent company's common and non-voting Class A shares are listed on the Toronto Stock Exchange

Investment philosophy

Guardian's investment philosophy is to achieve a prudent balance between risk tolerance and return enhancement. This balance is key to successful longer-term performance. Guardian also believes that longer term success will be achieved through fundamental research, superior security selection and implementation of a disciplined approach. They utilize both a "bottom-up" and "top-down" approach for portfolio construction with primary emphasis on a "bottom-up" process.

Investment process and risk controls

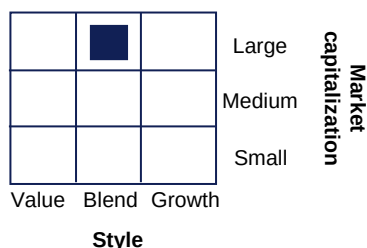
The Canadian Equity mandate is designed as a well-diversified mandate by sector/industry and security selection with a "growth-at-a-reasonable-price" style. Guardian seeks out companies which have the potential to grow sales (top-down) and earnings (bottom-up) faster than the economy, faster than their peer group and faster than the market as a whole. They focus on companies which will provide a fairly stable and predictable earnings path in the future.

As they buy companies on a relative-value basis to all others, they also sell on the same criteria. Guardian does not set price targets at the time of purchase. Stocks are sold for one of 4 reasons; the stock has moved to an overvalued price, more attractive alternatives arise, there is a negative change in company fundamentals, or the stock may be reduced if its weighting within the mandate exceeds 7%.

The overall emphasis combines a bottom-up view (approximately 80%) with a top-down view (approximately 20%). Individual equity security selection is based on in-depth knowledge of each company through a proprietary screening process (which includes an SRI screening). The top-down approach includes a thematic (i.e., demographics, technology, globalization, etc.) outlook for the economic, social and political trends which might affect the market as a whole and the underlying sectors, industries and securities within the market.

Risk management is an integral part of the decision-making process. They seek out companies which have strong balance sheets, superior management teams and a catalyst which is expected to have a positive impact on price performance over time

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ GARP (Growth at a reasonable price)

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is S&P/TSX Composite TR Index

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